Microsoft

Second Quarter Fiscal Year 2027 Outlook

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We do not undertake any duty to update forward-looking statements.

FY27 Q2 Outlook

Foreign currency impact	• No meaningful impact on total revenue, cost of revenue, operating expense growth, or revenue growth in either segment
Total Company	• Revenue of $96 to $97.1 billion
Agents and Infra	• Revenue of $80.1 to $80.7 billion
Devices and Consumer	• Revenue of $15.9 to $16.4 billion
Cost of revenue	• COGS of $32.7 to $32.9 billion
Operating expenses	• Expenses of $18.5 to $18.6 billion
Other income and expense	• Expected to be roughly $(300) million excluding any impact from our investments in OpenAI
Operating margin	• Expected to be down slightly year-over-year
Effective tax rate	• Approximately 20%
Capital expenditures	• Expected to be over $50 billion

FY27 Q2 Outlook Detail

Agents and Infra

Commercial bookings	• Healthy growth in our commercial sales motions, though results will be impacted by the significant Azure commitments signed in the prior year
Microsoft Cloud gross margin percentage	• Roughly 65%
Azure revenue	• Growth of 49% to 50% in constant currency
Microsoft 365 commercial cloud revenue	• Growth of approximately 19% in constant currency, FX expected to reduce reported growth by less than 1 point
Microsoft 365 consumer cloud revenue	• Growth in low-teens
Productivity and server licensing revenue	• Decline in mid- to high-single digits
Industry solutions cloud revenue	• Growth in mid- to high-single digits
Frontier and support services revenue	• Growth in low- to mid-single digits

Devices and Consumer

Search and advertising revenue (ex TAC)	• Growth in low-double digits
XBOX revenue	• Content and services revenue expected to grow in mid- to high-single digits • Hardware revenue should decline year-over-year
Windows OEM and devices revenue	• Decline in mid-thirties



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